	Asset classification, original/ extended DCCO, economic life, external rating, total outstanding, provision held, current project cost excluding IDC, IDC, current capital structure, D/E, DSCR, repayment tenor, repayment frequency.

78. An NBFC shall update any change in parameters of a project finance exposure at the earliest, but not later than 15 days from such change. The necessary system in this regard shall be put in place within three months of the effective date.

E. Disclosures

79. An NBFC shall make appropriate disclosures in their financial statements, under 'Notes to Accounts', as specified in the Reserve Bank of India (NBFCs – Financial Statements: Presentation and Disclosures) Directions, 2025.

Chapter VII - Partial Credit Enhancement

80. An NBFC in the Middle Layer and above may provide Partial Credit Enhancement (PCE) to bonds issued by corporates/ special purpose vehicles (SPVs) for funding all types of projects and to bonds issued by Non-deposit taking NBFCs with asset size of ₹1,000 crore and above registered with RBI. PCE may also be provided to bonds issued by Municipal Corporations.

81. The objective behind allowing NBFCs to extend PCE is to enhance the credit rating of the bonds issued so as to enable corporates to access the funds from the bond market on better terms.

A. Salient features of the PCE facility

82. The credit policy of the NBFC shall incorporate suitable provisions for issue of PCE, covering issues such as quantum of PCE, underwriting standards, assessment of risk, pricing, setting limits, etc.

83. PCE shall be a subordinated facility provided in the form of an irrevocable contingent line of credit which will be drawn in case of shortfall in cash flows for servicing the bonds and thereby may improve the credit rating of the bond issue.

84. A clear agreement documenting all aspects of this arrangement shall be signed between the promoter (bond issuer), the PCE providing NBFC, the bondholders (through the Trustee) and all other lenders to the project. The agreement to this effect shall be in the nature of a legally binding contract. The documentation for the facility shall clearly define the circumstances under which the facility would be drawn upon.

85. The PCE exposure limit by a single NBFC shall be 50 per cent of the bond issue size. The aggregate exposure limit of PCE providers towards the PCE for a given bond issue has also been capped at 50 per cent of the bond issue size.

86. The PCE facility shall be provided at the time of the bond issue and shall be irrevocable. PCE cannot be provided by way of guarantee.

87. As the purpose of PCE by NBFC is to enable wide investor participation in the corporate bond market, NBFC shall not invest in corporate bonds which are credit

enhanced by any Regulated Entity of the Reserve Bank. They may, however, provide other need based credit facilities to the corporate/ SPV.

88. The NBFC may offer PCE only in respect of bonds whose pre-enhanced rating are not lower than "BBB" minus as issued by accredited External Credit Assessment Institutions (ECAI).

89. To be eligible for PCE, corporate bonds shall be rated by a minimum of two ECAI at all times.

90. The rating reports, both initial and subsequent, shall disclose both standalone credit rating (i.e., rating without taking into account the effect of PCE) as well as the enhanced credit rating (taking into account the effect of PCE).

91. So long as the exposure of the NBFC to a project loan is classified as standard and the borrower is not in any financial distress (Reserve Bank of India ((Non-Banking Financial Companies – Resolution of Stressed Assets) Directions, 2025 for indicative list of signs of financial difficulty), providing a commercially priced PCE to enhance the rating of a bond issue, whose proceeds replace, in whole or in part, the NBFC's project loan, would not amount to restructuring.

92. The PCE shall be available only for servicing the bond and not for any other purpose (such as funding acquisition of additional assets by the corporate, meeting part of the project cost or meeting recurring expenses of the corporate or servicing other lenders/ creditors to the project etc.), irrespective of the seniority of claims of other creditors in relation to the bond holders.

93. In case the PCE facility is partly drawn and interest accrues on the same, the unpaid accrued interest shall be excluded from the calculation of the remaining amount available for drawing.

94. In a waterfall mechanism, Credit Enhancement (CE) gets drawn only in a contingent situation of cash flow shortfall for servicing a debt/ bond etc., and not in the normal course of business. Hence, such an event is indicative of financial distress of the project. Keeping this aspect in view, a drawn tranche of the contingent PCE facility shall be required to be repaid within 30 days from the date of its drawal (due date). The facility shall be treated as NPA if it remains

outstanding for 90 days or more from the due date and provided for as per the usual asset classification and provisioning norms. In that event, the NBFC's other facilities to the borrower shall also be classified as NPA as per extant guidelines.

95. The PCE providing NBFC shall observe the following exposure limits:

1) PCE exposure by the NBFC to a single counterparty or group of counterparties shall be within the overall regulatory exposure limits applicable to the NBFC.

2) The aggregate PCE exposure of the NBFC shall not exceed 20 per cent of its Tier 1 capital.

B. Additional conditions for providing PCE to bonds of NBFCs

96. The tenor of the bond issued by NBFCs for which PCE is provided shall not be less than three years.

97. The proceeds from the bonds backed by PCE from the NBFC shall only be utilized for refinancing the existing debt of the NBFCs The NBFC shall introduce appropriate mechanisms to monitor and ensure that the end-use condition is met.

98. The exposure of the NBFC by way of PCEs to bonds issued by each such NBFC shall be restricted to one percent of capital funds of the RE within the extant single / group borrower exposure limits.

C. Other Aspects of PCE

99. The effect of the PCE on the bond rating shall be disclosed in the bond offer document i.e., the rating of the bond without and with the PCE shall be disclosed.

100. The NBFC shall ensure that the project assets, created out of the bond issue for which PCE has been provided by them, and the cash flows from the project are ring fenced through an escrow account mechanism administered under a bond trustee arrangement. The manner in which security interest in the project assets would be shared by the lenders to the project, bond holders and the NBFC providing the PCE and the manner in which the project cash flows would be shared for servicing loans, if any, and the bonds and PCE, shall be decided and agreed upon before the issue of bonds and shall be properly documented.

101. The project shall have a robust and viable financial structure even before the credit enhancement is taken into account. Nevertheless, while providing PCE, the NBFC shall exercise necessary due diligence and credit appraisal, including making their own internal credit analysis / rating.

102. The NBFC shall honour the full PCE commitment irrespective of the asset classification of the concerned borrower's credit facilities.

103. All extant regulatory prescriptions for credit and investment exposures by the NBFC, unless specified otherwise in these Directions, shall continue to apply.

Chapter VIII - Other Regulatory Restrictions

A. Ceiling on IPO Funding

104. There shall be a ceiling of ₹1 crore per borrower for financing subscription to Initial Public Offer (IPO). The NBFC can fix more conservative limits.

B. Loans against NBFC's own shares

105. The NBFC shall not lend against its own shares.

C. Loans against security of shares

106. The NBFC with asset size of ₹100 crore and above shall comply with the following conditions while lending against the collateral of listed shares:

(1) maintain a LTV ratio of 50 per cent for loans granted against the collateral of shares. LTV ratio of 50 per cent is required to be maintained at all times. Any shortfall in the maintenance of the 50 percent LTV occurring on account of movement in the share prices shall be made good withinseven working days.

(2) The NBFC with asset size of ₹100 crore and above shall also comply with the following additional conditions:

(i) in case where lending is being done for investment in capital markets, accept only Group 1 securities (specified in SMD/ Policy/ Cir - 9/ 2003 dated March 11, 2003 issued by SEBI as amended from time to time) as collateral for loans of value more than ₹5 lakh, subject to review by the Reserve Bank.

(ii) report on-line to stock exchanges on a quarterly basis, information on the shares pledged in their favour, by borrowers for availing loans in format as given in Annex-III.

D. Demand / Call Loans

107. The NBFC granting demand / call loans shall comply with the following conditions:

(1) A cut-off date within which the repayment of demand or call loan shall be demanded or called up.

(2) The sanctioning authority shall, record specific reasons in writing at the time of sanctioning demand or call loan, if the cut-off date for demanding or calling up such loan is stipulated beyond a period of one year from the date of sanction.

(3) The rate of interest which shall be payable on such loans.

(4) Interest on such loans, as stipulated shall be payable either at monthly or quarterly basis.

(5) The sanctioning authority shall, record specific reasons in writing at the time of sanctioning demand or call loan, if no interest is stipulated or a moratorium is granted for any period.

(6) A cut-off date, for review of performance of the loan, not exceeding six months commencing from the date of sanction.

(7) Such demand or call loans shall not be renewed unless the periodical review has shown satisfactory compliance with the terms of sanction.

E. Finance for Housing Projects

108. While granting finance to housing / development projects, the NBFC shall also stipulate as a part of the terms and conditions that:

(1) The builder / developer / owner / company shall disclose in the pamphlets / brochures / display boards on-site, the name(s) of the entity to which the property is mortgaged.

(2) The builder/ developer/ company shall append the information relating to mortgage while publishing advertisement of a particular scheme in newspapers/ magazines etc.

(3) The builder / developer / owner / company shall indicate in the pamphlets / brochures, that they would provide No Objection Certificate (NOC) / permission of the mortgagee entity for sale of flats/ property, if required.

Further, the NBFC shall ensure compliance with the above stipulations and funds shall not be released unless the builder / developer / owner / company fulfil the above requirements.

Chapter IX - Other Regulations applicable to Non-Banking Financial Companies

A. Loans and advances to Real Estate Sector

109. While appraising loan proposals involving real estate, the NBFC shall ensure that the borrowers have obtained prior permission from Government / local Government / other statutory authorities for the project, wherever required. To ensure that the loan approval process is not hampered on account of this, while the proposals may be sanctioned in normal course, the disbursements shall be made only after the borrower has obtained requisite clearances from the Government/ their statutory authorities.

B. Commercial Real Estate

110. Commercial real estate (CRE) would consist of loan to builders/ developers/ other for office building, retail space, multi-purpose commercial premises, multitenant commercial premises, industrial or warehouse space, hotels, land, acquisition, development and construction etc. where the prospects for repayment, or recovery in case of default, would depend primarily on the cash flows generated by the asset by way of lease / rental payments, sale etc. Further, loans for third dwelling unit onwards to an individual will be treated as CRE exposure.

111. Commercial Real Estate – Residential Housing (CRE–RH) would consist of loans to builders/ developers for residential housing projects (except for captive consumption) under CRE segment. Such project should ordinarily not include non-residential commercial real estate. However integrated housing project comprising of some commercial spaces (e.g. shopping complex, school etc.) can also be specified under CRE-RH, provided that the commercial area in the residential housing project does not exceed 10 per cent of the total Floor Space Index (FSI) of the project. In case the FSI of the commercial area in the predominantly residential housing complex exceed the ceiling of the project loans, the entire loan should be classified as CRE and not CRE-RH.